

Nandu Engineering Works & Anr. v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 22 February 2012 interim order (order-sheet 19.1.2012 to 8.1.2018; writ pending) · WRIT - C No. 3773 of 2012 · **Writ pending; not finally decided. By interim order dated 22.2.2012 the Court, finding the clause 8.2 calculation challenge to 'need consideration', called for a counter affidavit and restored the disconnected supply subject to payment of Rs.10 lakh to respondent no.3 and deposit of current bills as due (a 6.4.2012 correction adding that no coercive action be taken in pursuance of the order dated 20.12.2011); the record shows only adjournments thereafter to 8.1.2018.**

Source file: WRIC(A)_3773_2012.pdf

HEADNOTE

Interim order-sheet in a pending challenge to an electricity re-assessment. The petitioner, Nandu Engineering Works, had earlier challenged an assessment; that writ was disposed of permitting it to file an objection to be considered, but after the Court's order dated 1 August 2011 a fresh assessment of Rs.99,60,904 was made. In the present writ the petitioner contended that the calculation was not in accordance with clause 8.2 of the U.P. Electricity Supply Code, 2005 and that, by assessing such an exorbitant amount, the statutory appeal was rendered onerous because the appellant must deposit 50% of the amount to appeal. On 22 February 2012 the Division Bench (Ashok Bhushan and Sunita Agarwal, JJ.) held that the submissions 'needs consideration', directed a counter affidavit and, the connection having been disconnected after the writ was filed, granted interim protection: subject to payment of Rs.10 lakh to respondent no.3 and deposit of current bills as and when due, the supply be restored; a correction order of 6 April 2012 added that no coercive action be taken against the petitioner in pursuance of the order dated 20 December 2011. Thereafter the matter passed through numerous benches and adjournments (the respondents contending that an appeal lies) without a final decision through the last recorded order of 8 January 2018. The merits of the clause 8.2 calculation challenge and of the alternative-remedy plea remain undecided.

FACTUAL SUMMARY

Nandu Engineering Works and another filed Writ-C No.3773 of 2012 before the Allahabad High Court challenging a re-assessment of electricity charges. Its counsel (Anurag Khanna) stated that the petitioner had earlier come to the Court challenging an assessment; that writ had been disposed of permitting the petitioner to file an objection which was directed to be considered, but after the Court's order dated 1 August 2011 the assessment was again made, amounting to Rs.99,60,904. The petitioner contended that this calculation was not in accordance with clause 8.2 of the U.P. Electricity Supply Code, 2005, and that assessing such an exorbitant amount made the appeal remedy onerous, since an appellant is required to deposit 50% of the amount to file the appeal. On 22 February 2012 the Division Bench (Ashok Bhushan and Sunita Agarwal, JJ.) found the submissions to 'need consideration', directed a counter affidavit within three weeks and listed the matter; the electricity connection having been disconnected after the writ was filed, it provided that subject to payment of Rs.10 lakh to respondent no.3 and deposit of current bills as and when due, the supply be restored. By a correction order dated 6 April 2012 the words 'and no coercive action shall be taken against the petitioner in pursuance of the order dated 20.12.2011' were added after 'shall be restored'. The matter was then repeatedly adjourned before several Division Benches (with the respondents contending on 3 September 2012 that an appeal lies against the impugned order, and requesting listing before a bench presided over by Ashok Bhushan, J. who had decided the earlier writ), the last recorded order being a pass-over dated 8 January 2018; no final decision appears on the record.

REUSABLE CONSTRUCTIONS

1. A challenge that an electricity re-assessment was not calculated in accordance with clause 8.2 of the U.P. Electricity Supply Code, 2005, coupled with the plea that an exorbitant assessment renders the statutory appeal onerous because 50% of the amount must be deposited to appeal, may be held to 'need consideration' and taken up on a counter affidavit rather than dismissed at the threshold on the alternative-remedy ground. **order of 22.2.2012**
2. As interim protection pending that consideration, the writ court may restore a disconnected supply subject to the consumer paying a fixed part-sum and depositing current bills as and when due, and may by a later correction add that no coercive action be taken in pursuance of an earlier order. **order of 22.2.2012; order of 6.4.2012**
3. Where an earlier writ against an assessment was disposed of permitting the consumer to object, and a fresh (higher) assessment follows the court's order, the consumer may again challenge that fresh assessment by writ.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.2

OBITER

Interim restoration of a disconnected supply on part-payment and deposit of current bills, pending decision on whether the re-assessment was calculated in accordance with clause 8.2 and whether the exorbitant assessment renders the appeal onerous

QUESTION

Pending the petitioner's challenge that the fresh assessment of Rs.99,60,904 was not calculated in accordance with clause 8.2 of the Supply Code and that the appeal remedy is rendered onerous by the 50% pre-deposit, what interim protection should issue on the disconnected supply?

HOLDING

Interim protection was granted and the merits left open. The Court held that the petitioner's submissions - that the calculation was not in accordance with clause 8.2 of the Supply Code and that the exorbitant assessment made the appeal onerous (50% pre-deposit) - 'needs consideration', and directed a counter affidavit. The connection having been disconnected after the writ was filed, it provided that subject to payment of Rs.10 lakh to respondent no.3 and deposit of current bills as and when due, the supply be restored, later correcting the order to add that no coercive action be taken against the petitioner in pursuance of the order dated 20.12.2011. This is an interim arrangement; the clause 8.2 calculation challenge and the alternative-remedy plea were not decided and the writ remained pending on the record.

order of 22.2.2012

EVIDENCE *"the calculation which has been made by the respondents is not in accordance with the provisions of clause 8.2 of the the U.P. Electricity Supply Code 2005 and by assessing such exorbitant amount the remedy of the filing the appeal has also made onerous since the petitioner is required to deposit 50% of the amount for filing the appeal."* order of 22.2.2012

EVIDENCE *"We provide that subject to payment of Rs. 10.00 lacs with respondent no.3 and subject to the deposit of current bill as and when due, the petitioner's supply shall be restored."* order of 22.2.2012

FLAG Interim order-sheet of 16 pages, dated orders from 19.1.2012 to 8.1.2018 across several Division Benches, no printed page numbers and no final judgment; pins are order dates. The operative interim relief is the order of 22.2.2012 (Ashok Bhushan and Sunita Agarwal, JJ.), corrected on 6.4.2012. The extract has 'clause 8.2 of the the U.P. Electricity Supply Code 2005' (the doubled 'the' is in the source).

PRINCIPLE TAGS

interim-restoration-on-part-payment-pending-assessment-challenge Pending a challenge that a re-assessment was not computed per clause 8.2 of the Supply Code, the court restored the disconnected supply on part-payment (Rs.10 lakh) and deposit of current bills, with no coercive action - an interim arrangement leaving the merits open. Same interim-restoration-on-deposit posture as SCJ-1063 and SCJ-206. order of 22.2.2012

exorbitant-assessment-makes-appeal-remedy-onerous The plea that an exorbitant re-assessment renders the statutory appeal onerous (50% pre-deposit) was held to need consideration; the writ was entertained and not thrown out at the interim stage on the alternative-remedy ground, though the respondents contended that an appeal lies. order of 22.2.2012

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE RE-ASSESSMENT OF RS.99,60,904 WAS CALCULATED IN ACCORDANCE WITH CLAUSE 8.2 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005

Undecided; the Court found the submission needed consideration and called for a counter affidavit. The writ remained pending through the order-sheet dates up to 8.1.2018 on this record. order of 22.2.2012

NOT DECIDED — WHETHER THE AVAILABILITY OF A STATUTORY APPEAL (REQUIRING A 50% PRE-DEPOSIT) BARS THE WRIT

Not decided; the respondents contended on 3.9.2012 that an appeal lies against the impugned order, but the Court entertained the writ and granted interim protection, leaving the point open. order of 3.9.2012

RELATED CASES — SEE ALSO

SCJ-1063 — Pending Allahabad writ in which the Division Bench, by interim order, restored the consumer's supply on deposit of the assessed amount pending decision of the assessment-calculation challenge - the same interim-restoration-on-deposit posture and pending status as here.

SCJ-206 — Pending interim order staying recovery pending consideration of a Clause 8.2 claim; shares clause 8.2 of the Supply Code and the interim-relief-pending-decision posture.

SCJ-121 — Merits decision on a clause 8.2 assessment (assessment upheld, appeal remanded to the Commissioner) - shows how an 8.2 assessment challenge of this kind is ultimately resolved.

SCJ-179 — Companion pending interim order in an assessment/appeal matter, staying the operation of the Commissioner's appellate order - a like interim posture.

SCJ-1564 · Nandu Engineering Works & Anr. v. State of U.P. & Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.